

The Compounding Organization: Why People Practices Work as Systems, Not Point Tools

Three decades of strategic HRM research say people practices work as systems. Here is what that evidence proves — and the line it does not cross.

The question usually arrives in diligence, from the person at the table who has read too many vendor decks: “Every HR product cites the same Gallup number. Is there any evidence that people practices move a P&L — or is this category running on faith?” It is the right question, and it has a real answer with a real literature behind it — one that most vendors either don’t know or quote selectively. This document lays that literature out, including the parts that cut against the sales pitch.

Key takeaways

1. In the foundational strategic-HRM study of nearly 1,000 firms, a one-standard-deviation increase in high-performance work practices was associated with 7.05% lower turnover and, per employee, \$27,044 more in sales and \$3,814 more in profits (1995 dollars) — reported as associations, not proven causation. [\[1\]](#)
2. Meta-analysis of 92 studies covering 19,319 organizations estimates the overall corrected correlation between high-performance work practices and organizational performance at .20. [\[2\]](#)
3. The same meta-analysis found the system effect is twice the individual-practice effect: coherent bundles of practices correlate with performance at .28, versus .14 for practices measured alone — a statistically significant difference. [\[2\]](#)
4. Meta-analytic evidence on how bundles work shows skill-enhancing, motivation-enhancing, and opportunity-enhancing practices operating through human capital and motivation to influence turnover, operational outcomes, and financial outcomes. [\[3\]](#)
5. Complementarity economics explains why bundles beat parts: practices raise each other’s returns, so adopting one practice without its complements underdelivers — a result documented at the production-line level, not just in surveys. [\[6\]](#) [\[7\]](#)
6. The causal arrow is genuinely contested: HR practices correlate with an organization’s past performance about as strongly as with its future performance, so “successful firms can afford good HR” remains a live rival explanation. [\[8\]](#) [\[9\]](#)
7. This literature is about HR practice systems, not software platforms — Cadence’s claim that a connected software plane inherits these system effects is an explicitly labeled extrapolation, to be validated with customer data. [\[2\]](#) [\[11\]](#)

Who this is for

- **Investors and diligence teams** testing whether the “system of management” category rests on evidence or on category marketing.

- **Boards and executives** deciding whether to fund an integrated people system or continue assembling point tools.
- **HR and People leaders** who need the strategic-HRM literature summarized honestly — effect sizes and caveats together — for a business case.
- **Skeptics** who suspect the high-performance-work-systems literature of circular reasoning. The strongest version of that critique gets its own section below, with the field's own evidence for it.

What did the strategic HRM research actually find?

Strategic human resource management — SHRM, in the academic sense — emerged as a field in the early 1990s around a specific proposition: that the *pattern* of an organization's people practices, not any single program, is what links human resources to organizational performance. Wright and McMahan's field-defining review framed SHRM as the planned pattern of HR deployments and activities intended to enable an organization to achieve its goals. [\[4\]](#)

The empirical anchor arrived in 1995. Mark Huselid surveyed nearly 1,000 U.S. firms on their use of high-performance work practices — rigorous selection, training, performance management, incentive compensation, employee involvement — and linked practice intensity to firm outcomes. The headline result: a one-standard-deviation increase in the use of these practices was associated with a 7.05% relative decrease in turnover and, on a per-employee basis, \$27,044 more in sales, \$18,641 more in market value, and \$3,814 more in profits, in 1995 dollars. [\[1\]](#)

Those numbers are worth stating precisely, because they are routinely misquoted in two directions. Vendors round them up into causal promises. Skeptics dismiss them as one study. Both are wrong. The study was cross-sectional and correlational — Huselid said so — and it was also not one study for long. A decade of replications followed, with results that varied enough to demand a meta-analysis.

Becker and Huselid's later review of the field is candid about what accumulated: a robust practice–performance association, an unresolved “black box” between practices and outcomes, and a shift in emphasis from generic best-practice lists toward how practice systems support strategy execution in specific organizations. [\[5\]](#)

What counts as a “high-performance work practice,” anyway?

A fair definitional challenge, because the category is fuzzier than the label suggests. Combs and colleagues identified 22 distinct practices that researchers had described as high-performance work practices, then — noting the field's own lack of unanimity about the list — retained only those appearing in at least five studies. [\[2\]](#) The practices that recur across the literature cluster into recognizable families:

- **Skill-enhancing:** selective hiring, structured training and development.
- **Motivation-enhancing:** performance management and appraisal, incentive and contingent compensation, internal promotion.
- **Opportunity-enhancing:** employee involvement and participation, information sharing, teams, job design, grievance and voice procedures, flexible work arrangements.

Two things follow from that list. First, these are *management practices*, not HR-department programs — most of them live or die in the manager–employee relationship, which is where the hub's practice-level evidence (feedback, goal setting, recognition, fair process, listening, role clarity) picks up the thread. Second, the definitional looseness is itself a caveat: when a literature cannot fully agree on what belongs in

the bundle, cross-study effect sizes should be read as estimates of a family resemblance, not a fixed recipe. Jiang et al.'s skill/motivation/opportunity taxonomy [3] is the field's best current answer to the definitional problem, which is why this document leans on it.

Is the system really bigger than the sum of its practices?

This is the quantitative heart of the literature, and the reason this document exists.

Combs, Liu, Hall, and Ketchen aggregated 92 studies covering 19,319 organizations and estimated the overall corrected correlation between high-performance work practices and organizational performance at .20. [2] Two features of that result matter more than the headline number.

First, the moderator test. When studies measured *systems* of practices — coherent bundles adopted together — the corrected correlation was .28. When studies measured *individual* practices in isolation, it was .14. The difference is statistically significant ($p < .01$). [2] On the meta-analytic record, the system effect is roughly twice the point-solution effect. That is the single most important quantitative fact in this literature for anyone deciding between assembling point tools and building a system: the same practices, measured as a bundle, show double the association with performance that they show one at a time.

Second, the practical translation. A correlation of .20 means a one-standard-deviation increase in practice use is associated with a 0.20-standard-deviation increase in performance — which, using Huselid's sample distributions as the yardstick, translates to roughly a 4.6-percentage-point increase in gross return on assets. [2] These are not rounding-error effects. They are also not guarantees, for reasons the objection section below takes seriously.

The mechanism question — *why* would bundles outperform parts — got its own meta-analysis. Jiang, Lepak, Hu, and Baer organized HR practices into three buckets: skill-enhancing (selection, training), motivation-enhancing (rewards, performance management), and opportunity-enhancing (involvement, information sharing, job design). Their meta-analytic model found these bundles operating through human capital and employee motivation to influence turnover, operational outcomes, and ultimately financial outcomes. [3] The logic is the AMO framework: performance requires ability, motivation, and opportunity *simultaneously*. Training people you cannot retain, motivating people who lack skills, or skilling and motivating people who have no channel to act — each one-legged stool underdelivers.

Why do practices reinforce each other? The complementarity logic

Economics reached the same conclusion from a different direction, with a sharper theoretical tool: **complementarity**. Milgrom and Roberts formalized the idea that organizational practices are complements when doing more of one raises the return to doing more of the others — and showed that systems of complementary practices tend to be adopted (and to pay off) as coherent clusters, not as independent line items. [6]

The cleanest evidence comes from inside factories rather than from executive surveys. Ichniowski and Shaw's research program on steel finishing lines — narrow, comparable production units where output is measured continuously — found that lines adopting *sets* of complementary HR practices (problem-solving teams, training, screening, incentive pay, information sharing) achieved productivity gains that the same practices adopted individually did not produce. Their insider-estimate work puts magnitudes on the complementarities themselves: the value of the bundle exceeded the summed value of its parts. [7]

The complementarity logic has a corollary that buyers should take personally: **partial adoption is not partial benefit**. If practices are true complements, adopting one without its complements can return close to nothing — which is consistent with the meta-analytic finding that isolated practices show half the

association of systems [\[2\]](#), and with the lived experience of every company that bought an OKR tool, watched it become quarterly theater, and concluded goals don't work. The practice didn't fail; the system around it was missing. The hub's [evidence map](#) makes the same point practice by practice: feedback works when it is task-relevant and connected to action, goals work when feedback and commitment are present, surveys work when they drive action. Every validated practice has moderators, and the moderators are usually *other practices*.

The strongest objection: don't successful firms simply afford better HR?

Steelman the skeptic, because the skeptic here is the academic literature itself:

The HPWS studies are mostly cross-sectional surveys. Successful, well-run firms have the slack to invest in sophisticated HR — so the correlation may run from performance to practices, not the other way. The same unmeasured factor (good management, good strategy, good markets) could drive both. Surveys of surviving firms bake in survivor bias. And practice measures often come from a single HR respondent rating their own function. A .20 correlation built on that foundation is not a causal effect; it is an intriguing pattern with several live explanations.

That objection has direct empirical support. Wright, Gardner, Moynihan, and Allen tested causal order explicitly and found HR practices correlated with *past* organizational performance roughly as strongly as with *future* performance — and when past performance was controlled, the practice-future-performance relationship shrank substantially. [\[8\]](#) That is exactly the fingerprint reverse causality would leave. Wall and Wood reviewed 25 leading studies and concluded the evidence for HR-practice effects on performance is promising but circumstantial, with research designs too weak to support the causal claims often built on them. [\[9\]](#) Guest's two-decade retrospective is blunter still: the field is "knowledgeable but not much wiser" about the causal chain. [\[10\]](#)

Three things stay true after the objection has been given full weight:

1. **The association itself is not in dispute.** Across 92 studies and 19,319 organizations, the direction is consistent and the magnitude is meaningful. [\[2\]](#) The dispute is about mechanism and causal share, not existence.
2. **The system-versus-practice comparison survives the critique.** Reverse causality and survivor bias would inflate the .14 and the .28 alike; they do not obviously explain why bundles show double the association of parts within the same literature. The complementarity evidence, which comes from production-line data rather than executive surveys, points the same way. [\[7\]](#)
3. **The honest reading is symmetrical.** Causality plausibly runs in both directions — good practices help firms perform, and performing firms invest in good practices. A compounding loop is not a reason to dismiss the evidence; it is a reason not to promise a specific ROI number from it. Cadence quotes this literature with its caveats attached because the caveats are load-bearing.

Does any of this prove that an integrated software platform works?

No — and this is the boundary this document exists to draw.

The strategic HRM literature studies **HR practice systems**: what organizations actually do — how they select, train, set goals, give feedback, recognize, involve, and inform. It does not study software architecture. No study cited on this page compared an integrated people platform against best-of-breed

point tools. A firm could run a genuinely coherent practice system on spreadsheets, and a firm could run fragmented, ritualized practices on the most connected platform ever built. The research measures the practices, not the plumbing.

Cadence's claim is therefore an **extrapolation, and we label it as one**: if practices work as systems because they share context and reinforce each other, then a software plane where the practices actually meet — where the 1:1 sees the goals, the goals see the feedback, recognition patterns sit next to survey signal and ER history — should make it easier to run practices as a system rather than as disconnected rituals. Point tools recreate, in software, exactly the isolation the meta-analytic evidence says underdelivers.

Stating the extrapolation precisely means stating what it assumes:

- **That the binding constraint is context, not intent.** Managers fail to run practices as a system partly because the signals never converge anywhere. Software can fix that part; it cannot fix a leadership team that doesn't want the practices.
- **That connection changes behavior, not just visibility.** A shared plane only inherits the system effect if managers act differently when signals converge — earlier conversations, better-targeted coaching. Dashboards alone are not a practice system.
- **That the complementarity transfers.** The economics literature measured complements among practices; whether the software substrate itself is a complement in that sense is exactly the untested step.

That is our integration thesis. It is a reasoned argument from the evidence, not a finding in it, and it will remain labeled that way until customer data or independent evaluation tests it.

The role of AI in that plane inherits the same discipline. The compounding organization is not one where an algorithm manages people; it is one where connected context makes human managers better at the practices the research validates. AI develops managers, not replaces them.

For the buyer-side version of this decision — what integration is actually worth against best-of-breed stacks — see [Build vs. Buy: The People Stack](#) and [What Is a Management Operating Plane?](#).

What would validate — or falsify — the compounding thesis?

Evidence-based management means holding your own claims to the standard you apply to everyone else's. [\[11\]](#) The hub sets Cadence's falsifiability standard, and this document restates it for the investor-grade version of the argument:

- **The thesis predicts** that organizations running connected practices on Cadence should show earlier detection of management patterns (converging signals across 1:1s, goals, recognition, surveys, ER) than the same signals reviewed in isolation, and that practice adoption should be more coherent — fewer one-legged stools.
- **It would be validated by** customer deployment data showing convergence patterns that anticipate outcomes (regrettable attrition, performance recovery, engagement decline) better than single signals, replicated across customers, and eventually by independent evaluation.
- **It would be falsified by** deployment data showing connected signals fire mostly on noise, or that integration adds dashboard surface without changing when and how managers act. If that is what the data shows, the thesis fails its own test and we will say so.

Until one of those happens, the claim hierarchy is explicit — three different epistemic grades, kept visibly apart:

Claim	Evidence grade	Basis
People practices are associated with organizational performance ($\bar{r}_c \approx .20$)	Peer-reviewed meta-analysis; causality contested	92 studies, 19,319 organizations [2] ; causal-order caveats [8] [9]
Practice <i>systems</i> show roughly double the association of isolated practices (.28 vs. .14)	Peer-reviewed meta-analysis, significant moderator test	Combs et al. [2] , convergent with AMO mediation evidence [3]
Complementary practices raise each other's returns; piecemeal adoption underdelivers	Formal theory plus production-line field evidence	Milgrom & Roberts [6] ; Ichniowski & Shaw [7]
A connected software plane helps practices function as a system	Cadence's argument — labeled extrapolation, no direct study exists	Integration thesis; validation is a stated future priority

What Cadence should not claim

Do not claim:

- "The research shows integrated platforms outperform point tools." (It shows practice *systems* outperform isolated *practices* — a different claim.)
- "Cadence customers see a .28 correlation with performance." (Cadence has no customer outcome data and says so.)
- "HPWS research proves HR practices cause financial results." (The causal question is open in the literature itself.)
- "Huselid's per-employee dollar figures apply to your firm today." (Cross-sectional associations, 1995 dollars, firm-level averages.)

Safer alternatives:

- "Meta-analytic evidence finds people practices show roughly twice the performance association when they operate as systems rather than isolated practices."
- "Complementarity research explains why partial adoption underdelivers."
- "Cadence's integration thesis extends this logic to the software plane — a labeled extrapolation awaiting customer validation."
- "Customer outcome studies are a future validation priority."

The availability discipline from the hub applies here too. When this argument is used in a sales or board context alongside product capability, the capability labels travel with it: 1:1s, goals, recognition, ER case management, job-architecture import, and the Culture Scorecard are live today; surveys and AI summaries/coaching are preview; 9-box talent calibration is roadmap (Coming Q3). A systems argument earns nothing if the system it describes is quietly padded with roadmap.

The argument in one paragraph

The best-replicated quantitative finding in strategic HRM is that people practices show roughly twice the performance association when they operate as coherent systems than when they are measured as isolated practices — .28 versus .14 across 92 studies [\[2\]](#) — and complementarity research explains why: practices raise each other's returns, so partial adoption underdelivers. [\[6\]](#) [\[7\]](#) The causal arrow is genuinely contested, and this document quotes that contest rather than hiding it. [\[8\]](#) [\[9\]](#) [\[10\]](#) What the literature does

not address is software. Cadence's thesis — that a connected management operating plane is how a modern organization actually runs practices as a system, with AI developing managers rather than replacing them — is an extrapolation from this evidence, labeled as such, and held to a falsifiability standard we expect our customers, and our skeptics, to enforce.

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Methodology and provenance. This synthesis was drafted in July 2026 by Cadence as part of the People Science research pillar. Sources were selected with a preference for peer-reviewed meta-analyses (Combs et al.; Jiang et al.) and foundational primary studies (Huselid), deliberately paired with the literature's own methodological critiques (Wright et al.; Wall & Wood; Guest) so that effect sizes are never quoted without their causal caveats. Every citation below was verified to resolve to the named source as of 2026-07-27. Claims that are Cadence's own synthesis rather than external research findings are identified as such in the text.

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This is a research synthesis, not a Cadence customer-outcome claim. The integration thesis — that a connected software plane inherits the system effects documented for HR practice systems — is Cadence's labeled extrapolation, pending customer validation.

This article is part of Cadence's [People Science](#) research pillar.

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